The Film Industry

Marketing and Distribution

Deciding how and where to advertise, distribute, and show a film is, like the filmmaking process itself, the work of professionals. During the final weeks of postproduction, the people responsible for promotion and marketing make a number of weighty decisions. They determine the release date (essential for planning and carrying out the advertising and other publicity necessary to build an audience) and the number of screens on which the film will make its debut. At the same time, they finalize domestic and foreign distribution rights and ancillary rights, contract with firms who make DVDs, schedule screenings on airlines and cruise ships, and, for certain kinds of films, arrange marketing tie-ins with fast-food chains, toy manufacturers, and so on.

The model for distributing and exhibiting a movie depends on the product itself. For example, there are exclusive and limited releases (a first-run showing in major cities, often used to gauge public response before a wider release), key-city releases (a second-tier release that further measures public response), and wide and saturated releases on hundreds or thousands of screens in the major markets as good reviews and word of mouth build public awareness and demand. In addition, based on the mode of release, there are complex formulas for establishing the rental cost of a print (or digital download), ticket prices, length of run, up-front guarantees, and box office grosses. The latter do not reflect what a theater or studio earns, but rather what the public spends to see a film. What part of a movie's gross goes to the producers, investors, and those (directors, writers, actors, etc.) who have a share of the gross included in their contracts remains one of Hollywood's most mysterious dealings.

In a further attempt to create new revenue streams for studios and new viewing options for consumers, Hollywood is planning to bring movies to homes at the same time (or close to it) that they are released in theaters. Such distribution practices are not yet proven to be economically or technically feasible and, in any event, are likely to throw the current method of theatrical distribution into turmoil. For example, on-demand streaming services like Netflix and Amazon Prime Video have already begun to change when, how, and where we look at movies.

Some or all of this activity is responsive to the voluntary movie rating system administered by the Motion Picture Association of America (MPAA), the trade association of the industry. Because the rating helps determine the marketing of a film and thus the potential size of its audience, it is very important. But ratings should also tell parents all they need to know to

make wise choices about what their children see, and that's where they fall short, especially with the PG-13 ratings. Such films have increasing amounts of violence, profanity, and nudity, factors that are often played down by the rating system. Since movies rated PG-13 appeal to a teenage audience—especially boys, whose attendance is vital to their success at the box office—the rating language has become less useful.

Table 11.4 | MPAA MOVIE-RATING SYSTEM

Rating Category	Explanation
G: General Audience	Nothing that would offend parents for viewing by children.
PG: Parental Guidance Suggested	Parents urged to give "parental guidance." May contain some material parents might not like for their young children.
PG-13: Parents Strongly Cautioned	Parents are urged to be cautious. Some material may be inappropriate for preteenagers.
R: Restricted	Contains some adult material. Parents are urged to learn more about the film before taking their young children with them.
NC-17: No One 17 and under Admitted	Clearly adult. Children are not admitted.